TECHNOVA SOLUTIONS PVT. LTD.
PROCUREMENT POLICY

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1. Purpose

This Procurement Policy establishes the principles, responsibilities, approval controls, sourcing requirements, supplier-management practices, and purchasing procedures for acquiring goods and services on behalf of TechNova Solutions Pvt. Ltd. (“TechNova” or “the Company”).

The policy is designed to obtain appropriate value while protecting the Company from financial, operational, security, legal, privacy, and supplier-related risks.

2. Scope

This policy applies to employees, managers, budget owners, procurement personnel, and other authorized persons who initiate, approve, select, purchase, or manage goods and services for TechNova.

It applies to physical goods, software, cloud services, professional services, consulting, subscriptions, equipment, facilities-related purchases, and other third-party commitments.

3. Procurement Principles

- Business requirements must be defined before material purchasing commitments are made.
- Purchases must be necessary, reasonable, and aligned with approved budgets.
- Appropriate approvals must be obtained before a supplier commitment is made.
- Supplier selection should consider total value, quality, reliability, risk, security, and commercial terms.
- Competition should be used where practical and proportionate to the purchase.
- Conflicts of interest must be disclosed.
- Company data and systems must be protected during supplier engagement.
- Purchasing must be documented sufficiently to support financial control and auditability.

4. Procurement Roles

Role	Responsibilities
Requestor	Defines the business need, prepares requirements, obtains required approvals, and provides supporting information.
Manager / Budget Owner	Confirms business need, budget availability, and appropriate use of Company funds.

Role	Responsibilities
Procurement	Coordinates sourcing, supplier evaluation, commercial negotiation, purchase documentation, and supplier onboarding w
Finance	Supports financial controls, vendor-payment controls, accounting, and budget governance.
Information Security / Technology	Reviews security, technology, data, and access risks for applicable suppliers.
Legal	Reviews contracts and material legal terms where required.
Approving Authority	Approves commitments according to the Company's Approval Matrix.

5. Procurement Planning

Departments should plan material purchases sufficiently in advance to allow appropriate requirements definition, sourcing, review, contracting, and implementation.

- Identify the business objective.
- Define required goods or services.
- Estimate the expected cost and duration.
- Identify the budget or cost center.
- Identify technical, security, privacy, legal, or operational dependencies.
- Determine the required approval route.

6. Purchase Request

A purchase request should contain enough information for an approver or procurement reviewer to understand the requested commitment.

- Business justification
- Description and quantity
- Expected delivery or service period
- Estimated value
- Budget or project reference
- Preferred supplier, if any, with justification
- Required technical or service specifications
- Known risks or dependencies

7. Approval Before Commitment

Employees must not make a binding commitment to a supplier before required approvals have been obtained.

- Do not sign supplier agreements without appropriate authority.
- Do not issue informal promises of purchase on behalf of TechNova.
- Do not instruct suppliers to begin material work before required authorization.
- Do not split a purchase into smaller commitments to avoid an approval threshold.

8. Approval Thresholds

Financial approval thresholds are governed by the current Approval Matrix. Higher-value or higher-risk purchases may require additional management, Finance, Legal, Security, or executive review.

9. Competitive Sourcing

Procurement should seek competitive quotations or proposals where practical and proportionate to the value and risk of the purchase.

- Use multiple qualified suppliers where a competitive process is appropriate.
- Provide materially comparable requirements to suppliers.
- Evaluate proposals using consistent criteria.
- Document the rationale for supplier selection.

10. Single-Source Procurement

A single-source purchase may be appropriate where there is a documented business reason.

- Unique technical capability
- Compatibility with an existing critical system
- Exclusive rights or intellectual property
- Continuity requirements
- Urgent business need where competition is impractical
- Other documented circumstances approved by the appropriate authority

Single-source decisions should not be used merely for convenience or to avoid competition.

11. Supplier Evaluation

Supplier evaluation should consider the factors relevant to the purchase.

- Price and total cost
- Quality and technical capability
- Delivery and service capability
- Financial and operational stability
- Information-security posture
- Data-protection requirements
- Legal and contractual terms
- Support and service levels
- Business continuity considerations
- References or prior performance

12. Supplier Due Diligence

Appropriate supplier due diligence should be performed before onboarding suppliers whose services or access create material financial, operational, security, privacy, or compliance risk.

The depth of due diligence should be proportional to supplier risk and the nature of the engagement.

13. Technology and Software Procurement

Technology purchases require appropriate technical and security review before commitment where they introduce Company systems, data, software, integrations, or external processing.

- Software licensing
- Cloud services
- AI and machine-learning services
- Data platforms

- Developer tools
- External APIs
- Managed services

14. AI and Data Services

Suppliers that process Company data, employee information, customer information, confidential documents, or knowledge-base content may require additional privacy, security, contractual, and technical review.

- Understand what data is processed.
- Identify where data is stored or processed.
- Review retention and deletion terms.
- Review supplier use of data for model training or other secondary purposes where relevant.
- Confirm access-control and security requirements.

15. Information Security Review

Suppliers requiring access to Company systems, confidential information, credentials, production environments, or sensitive data must undergo appropriate security review before access is granted.

Security requirements may include encryption, access control, logging, vulnerability management, incident notification, and secure data disposal.

16. Privacy Review

Where a supplier processes personal information on behalf of TechNova, applicable privacy requirements must be assessed before the supplier begins processing.

- Purpose and categories of processing
- Data locations
- Retention requirements
- Sub-processors
- Security measures
- Data deletion or return
- Incident notification

17. Legal Review

Legal review should be obtained where required based on contract value, risk, data processing, intellectual property, liability, regulatory requirements, unusual terms, or other designated criteria.

18. Contracting

Material goods and services should be governed by an appropriate written agreement, purchase order, statement of work, or other authorized commercial document.

- Scope and deliverables
- Pricing and payment terms
- Service levels where relevant
- Responsibilities
- Confidentiality
- Data protection

- Security obligations
- Intellectual property
- Termination rights
- Liability and applicable legal provisions

19. Statements of Work

Professional or technical services should use a sufficiently detailed statement of work where appropriate.

The statement should define expected deliverables, milestones, responsibilities, assumptions, acceptance criteria, commercial terms, and applicable service expectations.

20. Purchase Orders

Purchase orders or equivalent approved purchasing records should be used where required by Company process.

A purchase order should not be treated as a substitute for required technical, security, legal, or financial approval.

21. Supplier Onboarding

- Collect required supplier identity and registration information.
- Complete applicable due diligence.
- Confirm payment details through authorized verification procedures.
- Complete required tax or statutory documentation.
- Assign an accountable internal owner.
- Establish appropriate system access if needed.

22. Supplier Master Data

Supplier records must be maintained accurately. Changes to supplier payment information require appropriate verification and authorization to reduce fraud risk.

23. Supplier Selection and Conflicts of Interest

Employees involved in supplier selection must disclose actual or potential conflicts of interest.

- Personal financial interests
- Family relationships with supplier personnel
- Outside employment or consulting relationships
- Personal benefits or gifts
- Other relationships that could influence impartial selection

24. Gifts and Hospitality

Employees must not accept gifts, entertainment, or other benefits that could improperly influence a procurement decision.

Business hospitality must comply with applicable Company ethical and anti-bribery requirements.

25. Anti-Bribery and Ethical Conduct

No employee or supplier may offer, request, provide, or accept an improper payment, benefit, or inducement in connection with Company procurement.

Suspicious requests or conduct should be reported through appropriate Company channels.

26. Supplier Negotiation

Commercial negotiations should seek fair value and protect Company interests.

- Clarify pricing and assumptions.
- Identify recurring versus one-time charges.
- Review renewal and escalation provisions.
- Clarify implementation and support costs.
- Document material negotiated terms.

27. Total Cost of Ownership

Supplier selection should consider total cost rather than purchase price alone.

- Implementation
- Support
- Maintenance
- Licensing
- Renewal
- Integration
- Migration
- Training
- Termination or transition costs

28. Recurring Services and Subscriptions

Recurring commitments should have an identified owner and a process for renewal review.

- Record renewal dates.
- Review continued business need before renewal.
- Review usage and cost.
- Cancel unused services promptly.
- Reassess security and privacy risk when material service changes occur.

29. Emergency Procurement

Emergency procurement may be used when immediate action is necessary to protect safety, critical operations, security, or business continuity and normal sourcing timelines are impractical.

Emergency purchases must be documented and regularized through the appropriate approval process as soon as reasonably possible.

30. Low-Value Purchases

Low-value purchases may follow simplified procedures where permitted by Company controls. Simplification does not remove the requirement for a legitimate business purpose, appropriate authorization, or reasonable expenditure.

31. Prohibited Procurement Practices

- Purchasing for personal use using Company funds
- Bypassing required approval
- Splitting transactions to avoid thresholds
- Selecting a supplier because of undisclosed personal benefit

- Falsifying quotations or supplier records
- Creating fictitious suppliers
- Using unauthorized software or services for Company data
- Committing the Company without delegated authority

32. Supplier Performance Management

Material suppliers should be evaluated periodically against agreed expectations.

- Delivery performance
- Quality
- Service levels
- Responsiveness
- Security or compliance performance
- Invoice accuracy
- Contract adherence

33. Supplier Issues

Material supplier failures should be documented and escalated to the internal owner, Procurement, and other relevant functions.

Corrective action, service credits, remediation plans, replacement suppliers, or termination may be considered depending on the circumstances.

34. Supplier Access

Supplier access to Company systems must be limited to what is necessary for the authorized service and must follow applicable access-control requirements.

- Use individual accounts where practical.
- Do not share credentials.
- Limit privileged access.
- Review access periodically.
- Remove access when the engagement ends.

35. Supplier Data Handling

Suppliers must handle Company data only for authorized purposes and according to applicable contractual and security requirements.

Data transfers should use approved mechanisms and appropriate protections.

36. Intellectual Property

Procurement and contracting processes should identify ownership and permitted use of intellectual property created, licensed, purchased, or accessed through a supplier engagement.

37. Open-Source and Licensed Components

Where procurement involves software components, the responsible technical team should evaluate licensing, security, maintenance, and compatibility considerations before adoption.

38. Cloud Procurement

Cloud services should be evaluated for cost, security, data location, availability, access control, integration, exit strategy, and operational ownership.

Cloud commitments should not be created outside authorized Company processes.

39. Hardware and Equipment

Hardware purchases should consider technical requirements, lifecycle, warranty, support, security configuration, asset registration, and disposal requirements.

Purchased equipment that becomes Company property must be recorded according to Asset Management requirements.

40. Professional Services

Consultants and service providers should have defined scope, deliverables, rates or fees, milestones, acceptance criteria, confidentiality, and ownership requirements where appropriate.

41. Invoice Matching

Finance or designated purchasing personnel should verify that supplier invoices correspond to authorized purchases and, where applicable, accepted goods or services.

- Supplier identity
- Purchase order or contract reference
- Quantity and price
- Delivery or service evidence
- Applicable taxes
- Appropriate approval

42. Goods Receipt and Service Acceptance

The responsible business owner should confirm that goods were received or services were delivered in accordance with the agreed requirements before payment is authorized where such confirmation is required.

43. Supplier Payments

Supplier payments must be processed through authorized Finance procedures. Employees must not independently alter supplier bank details or instruct Finance to make payments outside approved controls.

44. Procurement Records

Procurement records should provide a reasonable audit trail from business requirement through approval, sourcing, selection, contracting, receipt, and payment.

- Purchase request
- Approvals
- Quotes or proposals
- Evaluation records
- Supplier due diligence
- Contract or purchase order
- Receipt or acceptance
- Invoice

45. Record Retention

Procurement and supplier records must be retained according to applicable Company financial, contractual, legal, and information-management requirements.

46. Procurement Confidentiality

Supplier proposals, pricing, evaluation results, negotiations, and contracts may contain confidential information. Access should be limited to personnel with a legitimate business need.

47. Supplier Risk Classification

Procurement may classify suppliers based on factors such as spend, business criticality, system access, data sensitivity, geographic exposure, substitutability, and operational dependency.

Higher-risk suppliers may require enhanced due diligence, contractual safeguards, monitoring, and periodic reassessment.

48. Business Continuity Considerations

For critical suppliers, the business owner should consider alternative suppliers, transition options, inventory or capacity buffers, service recovery commitments, and other continuity measures appropriate to the dependency.

49. Supplier Termination

Supplier termination should follow contractual requirements and consider operational, security, data, access, asset, and financial implications.

- Complete final deliverables and acceptance.
- Settle valid outstanding invoices.
- Recover Company assets.
- Revoke supplier access.
- Return or securely delete Company information as required.
- Document transition activities.

50. Procurement Monitoring

Finance and Procurement may monitor purchasing activity for unusual patterns, threshold avoidance, duplicate suppliers, excessive concentration, policy exceptions, or other control concerns.

51. Audit

Authorized internal or external audit functions may review procurement records and supplier relationships. Employees must provide requested information and must not intentionally conceal procurement records.

52. Exceptions

Exceptions require documented justification and approval from the appropriate authority. An exception should identify the requirement, reason, financial value, risk, compensating controls, and duration.

53. Non-Compliance

Failure to follow procurement requirements may result in delayed purchasing, rejection of a request, payment restrictions, recovery of unauthorized expenditure, supplier-access restrictions, disciplinary action, or other appropriate measures.

54. Procurement Decision Checklist

- Is the purchase necessary?
- Is there an approved budget?
- Has the required approval been obtained?

- Is the specification clear?
- Should Procurement or another specialist function be involved?
- Was competition considered?
- Has the supplier been appropriately evaluated?
- Are security, privacy, legal, and IP risks addressed?
- Are contract and payment terms clear?
- Is the decision documented?

55. Frequently Asked Questions

Can I directly purchase software using my personal card?

Not for Company use unless the applicable authorization and technology/security/procurement process permits it.

Can I select a supplier I have used personally?

Potentially, but any personal relationship or interest that could influence the decision must be disclosed and the selection must remain objective.

Do all purchases require multiple quotations?

Not necessarily. Competitive sourcing should be proportionate to value and risk, and approved single-source circumstances may apply.

Can I split a purchase into multiple invoices?

No. Splitting transactions to bypass approval thresholds is prohibited.

What if the business need is urgent?

Use the authorized emergency-procurement process and document the reason and approvals.

Who can sign a supplier contract?

Only a person with appropriate delegated authority for the contract and commitment.

Can a supplier access production systems?

Only when necessary, authorized, and controlled under applicable security and access requirements.

Do cloud and AI services require special review?

They may require additional technology, security, privacy, legal, and commercial review depending on what they process and the risks involved.

What happens when a supplier performs poorly?

The internal owner and Procurement should document the issue and pursue appropriate remediation, commercial remedies, alternative sourcing, or termination where necessary.

Why is total cost important?

A low initial price can conceal implementation, support, renewal, integration, or exit costs. Procurement decisions should consider the overall value and lifecycle cost.

56. Policy Governance

The Finance Department and Procurement Function own this policy and review it at least annually or when material changes occur in purchasing processes, financial controls, supplier risk, or Company operations.

The latest approved version maintained in the official Company repository is the authoritative version.

57. Revision History

Version	Effective Date	Description	Owner	Approval
1.0	01 April 2026	Initial release of Procurement Policy	Finance / Procurement	CFO / Managing Director

58. Related Documents

- Expense Policy
- Reimbursement Policy
- Approval Matrix
- Asset Management
- Information Security Policy
- Access Control Policy
- Data Retention Policy

END OF DOCUMENT

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